

PEOPLE'S PUBLIC TRUST ECONOMIC ZONE 0001 — CALIFORNIA

PPT-EZ-CA-0001

312 Spring Commons

MASTER DEAL TERM SHEET

Proposed public-benefit conveyance, rehabilitation, operation and benchmark framework

v0.2 • September 17, 2026

WORKING DRAFT / PROJECT ASSUMPTIONS

This document is a working project draft for discussion, diligence and counsel review. It distinguishes verified facts from working assumptions, target benchmarks and items to be determined. Nothing herein is an offer to sell securities, a guarantee of tax benefits, a commitment by any government agency, or a representation that the proposed public-benefit conveyance, financing, lease, technology benchmark or community-distribution structure has been approved.

1. Purpose and Status

This non-binding term sheet summarizes the current proposed structure for PPT-EZ-CA-0001 and 312 Spring Commons. It is intended to align the federal/public conveyance pathway, public-title protection, long-term operation, capital formation, worker/community participation, M5/TitleChain transaction controls and project benchmarking before definitive agreements are negotiated.

CURRENT TRANSACTION STATUS: Conditional go / diligence stage. The Historic Monument Public Benefit Conveyance pathway must be confirmed as currently available; the public grantee, long-term operator, financing structure and definitive rehabilitation scope remain TBD.

ANCHOR ASSET: Federal Building & U.S. Courthouse, 312 N. Spring Street, Los Angeles, California 90012; APN 5161-005-902 (subject to authoritative title/survey confirmation).

PROJECT DESIGNATION: People's Public Trust Economic Zone 0001 — California (PPT-EZ-CA-0001), a proposed project/benchmark designation and not an official state economic-zone designation unless separately authorized.

2. Core Transaction Thesis

- The United States remains the current titleholder until a lawful conveyance occurs.
- If the Historic Surplus pathway is approved, an eligible governmental entity is expected to receive fee title and remain accountable for federal historic/public-use covenants and any reversionary interests.
- People's Public Trust and/or an approved project operator would participate through an NPS/public-owner-approved long-term lease, concession, management arrangement or other lawful operating structure rather than direct ownership of the public land.
- Capital is intended to finance rehabilitation, preservation, building systems, activation and operations—not speculative fractional ownership of the public deed.
- Workers and community participants may receive compensation, credentials, cooperative/patronage rights and governance rights in the operating economy, but no fractional deed interest unless separately lawful and expressly documented.

3. Proposed Parties and Roles

Party	Role	Core rights / responsibilities
United States / GSA	Current federal owner / disposing agency	Controls disposition process and federal conveyance; final authority as applicable.
National Park Service	Historic Surplus program oversight	Historic eligibility, preservation/use program, lease review and continuing compliance.
Public Grantee — TBD	Proposed fee titleholder	Eligible City/County/state instrumentality or other qualifying governmental entity; holds deed subject to federal restrictions.
People's Public Trust	Proposed commons/governance framework	Coordinates public-benefit thesis, benchmark methodology, transparency and operating standards; not fee owner absent lawful conveyance.
312 Spring Commons Operator — TBD	Long-term operator / rehabilitation vehicle	Executes approved rehabilitation, operation, tenant/program contracts, reporting and revenue model.
Capital providers	Multiple capital lanes	Philanthropy, PRIs, HTC, potential NMTC, public capital, tenant/operator capital, debt/equity where lawful.
Workers / co-op / local participants	Operating economy	Labor, services, programming, co-op or patronage participation and local governance as documented.
TitleChain / M5 stack	Evidence and control infrastructure	Provenance, identity/authority state, deterministic control rules, decision support and transaction receipts; not a substitute for legal/public records.

4. Title, Deed and Asset Protection

- Fee title is intended to remain with a qualifying public grantee, subject to all federal deed restrictions, historic covenants and reversionary interests.
- No private investor, worker token, co-op interest or community credential is intended to represent fractional fee title to the public asset.
- The long-term operator may receive defined leasehold and operating rights, subject to NPS/public-owner approval and definitive documents.

Proposed TitleChain / M5 Title-State Process

The project intends to use the TitleChain/M5 protocol as a parallel evidence, provenance and transaction-state layer around the legally authoritative deed and public records. The protocol is based on TitleChain's patented decentralized title-transfer and asset-provenance architecture, including U.S. Patent Nos. 11,720,888 and 12,518,273. The public deed and applicable government recording system remain legally authoritative unless applicable law provides otherwise.

Stage	Proposed M5 / TitleChain treatment
1. Asset identity	Register the physical asset, parcel/legal-description references, jurisdiction and source records.
2. Current title state	Record current titled owner as evidenced by authoritative public/federal records; link deed/title source.
3. Authority state	Register credentialed parties, legal capacity, agency, delegated authority and signature prerequisites.
4. Restriction state	Encode federal historic covenants, reversionary interests, easements, lease constraints and other restrictions as machine-readable policy references.
5. Transfer event	Upon lawful execution and recording, register the state transition and immutable evidence receipt.
6. Public-record reconciliation	Reference official deed/recording instrument, recording date/number, jurisdiction and public-record source.
7. Digital title-state representation	Maintain a non-fractional digital representation of asset/title state and rights metadata; it does not itself grant fee title or override the deed.
8. Ongoing state	Track operating lease, approved rights, financing interests, compliance events and material changes as separate rights layers.

5. Preliminary Capitalization and Uses

The project currently uses GSA's nearly \$153 million capital-maintenance reference as a diligence anchor, not as a verified contractor budget. The preliminary all-in capitalization envelope is approximately \$200 million to \$240 million, with a working base case of approximately \$219.6 million, subject to independent engineering, environmental, design, construction and operating diligence.

Use	Working base
Rehabilitation / physical work reference	\$153.0M
Architecture, engineering, preservation + PM	\$15.3M
Construction contingency	\$18.4M
Predevelopment / diligence	\$4.6M
Legal / tax / financing structuring	\$4.6M
Permits / testing / commissioning	\$3.1M
Insurance / bonding	\$3.8M
Financing / carrying allowance	\$9.2M
Startup / operating reserve	\$6.1M

TitleChain / M5Canon | U.S. Patent Nos. 11,720,888 & 12,518,273 | Public Commons: TitleChain Foundation / ICSN | github.com/TitleChain-Foundation | titlechainfoundation.org

Digital transaction / audit infrastructure allowance	\$1.5M
Working base capitalization	~\$219.6M

6. Proposed Capital Lanes

- Philanthropic capital: restricted grants and mission-aligned contributions tied to eligible public-benefit uses and milestones.
- Program-related investments (PRIs): structured only with tax/foundation counsel and definitive repayment/mission terms.
- Federal Historic Tax Credit capital: subject to determination of qualified rehabilitation expenditures, NPS certification, tax structure and investor underwriting. No fixed proceeds are represented at this stage.
- New Markets Tax Credit capital: subject to census-tract/project eligibility, CDE allocation, transaction structure and investor underwriting.
- Public capital: grants, appropriations, revenue-bond or other lawful public finance tools, subject to public authority.
- Tenant/operator capital: tenant improvements, operating capital or other project-specific commitments, subject to the master lease and NPS/public-owner approvals.
- Private project debt/equity: only in an identified non-fee-title vehicle and subject to securities, tax, leasehold, federal covenant and public-owner limitations.

7. Phase-Gated Funding

Phase	Working range	Release concept
Phase I — Predevelopment	Indicative \$5M-\$10M	Status, title, survey, environmental, building condition, preservation concept, engineering, tax-credit analysis, legal/entity design.
Phase II — Design / Stabilization	Indicative \$20M-\$30M	Design development, early stabilization, permits, long-lead items, construction documents, final financing.
Phase III — Rehabilitation	Indicative \$140M-\$170M	Milestone-based construction draws against certified work, budget and required approvals.
Phase IV — Activation / Reserve	Indicative \$10M-\$20M	Tenant activation, equipment, programming, working capital and operating/reserve needs.

8. Operating Economics and Revenue Waterfall

- Compatible leases, food/market uses, workforce/education programs, workspace, events, cultural programming and other approved activities may generate revenue, subject to NPS/public-owner approval and deed restrictions.
- Project revenue first supports operating costs, insurance/security/utilities, approved financing obligations, repair/rehabilitation/restoration/maintenance and reserves.
- Any excess income from a Historic Surplus asset will be used only as permitted by applicable federal law, deed restrictions and NPS-approved financial plans; no general resident cash-dividend promise is made from this asset.

9. Worker and Community Participation

- Worker participation may include wages, verified skill/work credentials, co-op membership, patronage or operating-economy rights where lawful and documented.
- Community participation may include program governance, participatory budgeting of legally eligible funds, public reporting and locally defined benefit priorities.
- Any token or credential representing participation is intended to be distinct from fee title, deed ownership or an unregistered security unless counsel determines otherwise and definitive documents are executed.

Programmed Benchmark Objectives

These are target baselines the project is deliberately designing toward. They are not historical results, forecasts, guarantees, or representations of achieved savings. Each project is intended to measure actual performance against the same categories and publish variance from baseline.

Metric	Working baseline	Programmed goal	Measurement	Status
End-to-end transaction timeline	12 months working legacy baseline	2 months target	Elapsed days from defined start gate to defined closing/activation gate	TARGET
Human coordination labor	14,000 hours working baseline	3,000 hours target	Time-tracked legal/admin/project routing hours	TARGET
Administrative labor cost	\$2.10M baseline	\$0.45M target	Actual invoiced and internal labor cost	TARGET
Escrow & title friction	\$1.1475M baseline	\$0.459M target	Escrow/title/settlement/underwriting invoices	TARGET
Compliance/audit friction	\$0.45M baseline	\$0.15M target	Audit, reporting and compliance coordination cost	TARGET
Holding / capital drag	\$8.25M baseline	\$1.375M target	Interest reserve, security, insurance, delay and carry costs	TARGET
Total frictional cost	\$11.9475M baseline	\$2.434M target	Defined cost taxonomy applied consistently across projects	TARGET
Modeled friction reduction	\$9.5135M / 79.6%	Benchmark goal	Measured only after project completion	TARGET
Cost of money	TBD matched conventional financing	Reduce risk premium / fees / carry	Compare spreads, fees, reserves and effective annualized cost	MEASURE
Third-party systems / agents	TBD at baseline mapping	Minimize duplicated state + unnecessary calls	Count systems, integrations, model calls and manual reconciliations	MEASURE

Internal ranking: each PPT project may receive a Commons Performance Benchmark score after measurement. This is an internal operational benchmark, not a credit rating, investment rating or government certification.

10. Commons Performance Benchmark

Each project is intended to be scored after sufficient measured data exists. The proposed 100-point internal score is operational only and is not a credit rating, investment rating or government certification.

Dimension	Points
Title & authority clarity	20
Transaction efficiency	20
Capital efficiency / cost of money	20
Public asset protection	15
Local reinvestment / participation	15
Transparency / auditability	10

11. Conditions Precedent to Definitive Closing

1. GSA confirms the applicable disposition pathway and required federal process.
2. Eligible public grantee is identified, legally authorized and approved to proceed.
3. NPS confirms the Historic Surplus pathway and approves required preservation/use and lease structure.
4. Title, legal description, survey, easements, retained interests and federal deed terms are satisfactory.

TitleChain / M5Canon | U.S. Patent Nos. 11,720,888 & 12,518,273 | Public Commons: TitleChain Foundation / ICSN | github.com/TitleChain-Foundation | titlechainfoundation.org

5. Tenant/occupancy and possession/relocation plan is acceptable.
6. Environmental, structural, seismic, MEP, life-safety, accessibility and other condition diligence is satisfactory.
7. Independent rehabilitation budget and schedule are completed and accepted.
8. Operating plan and financial sustainability model are accepted.
9. Master lease and material development/operating agreements are substantially final.
10. Capital stack, tax-credit structure, financing, insurance/bonding and funding commitments are satisfactory.
11. All required public approvals, professional certifications and authorized human signatures are obtained.
12. Recording and post-closing compliance plan is ready.

12. Non-Binding Effect

Except for any separately executed confidentiality, publicity, records-protection, cost-allocation, governing-law or similar provisions expressly stated to be binding, this term sheet is non-binding and does not obligate any government agency, investor, donor, public grantee, operator or other person to proceed. Definitive rights arise only from duly authorized and executed agreements and legally required public actions.

Selected Source Notes

- Project feasibility source: 312 N. Spring Street Acquisition Feasibility Brief, September 16, 2026.
- GSA: U.S. Courthouse, 312 N. Spring Street, Los Angeles; federal historic-building profile and disposition materials.
- 40 U.S.C. § 550(h): Historic monument conveyances may be made without monetary consideration to eligible state/local public entities, subject to statutory conditions.
- National Park Service, Historic Surplus Property Program: private/not-for-profit organizations cannot directly acquire under the program but may enter long-term leases with public recipients; NPS reviews leases and rehabilitation standards.
- IRS Section 47 / Form 3468 guidance: federal rehabilitation credit equals 20% of qualified rehabilitation expenditures and is generally allowed ratably over five years; long-term lessee rules require tax counsel analysis.
- CDFI Fund, New Markets Tax Credit Program: qualifying investors receive a credit totaling 39% of the qualified equity investment over seven years through certified CDE structures.
- USPTO / patent records: U.S. Patent Nos. 11,720,888 and 12,518,273, Decentralized title transfer and validation of assets.

M5Canon v0.2 Updates

Digital-Legal Object Separation

- The transaction must maintain separate state objects for fee title, federal deed restrictions, leasehold/operating rights, any Controllable Electronic Record (CER), any Article 9 security interest, any security issued to investors, and the M5MST event history. No object may be promoted to a legal state that the governing instrument does not authorize.
- A UCC-1 financing statement is used only where an actual secured transaction requires perfection or priority of a security interest. It is not a substitute for the deed, county land record, lease, or a generic registration of a digital twin.
- Any CER used by the project will evidence/control the electronic record or defined rights represented by that record; the underlying real-property right remains governed by the deed, lease and applicable law.

State-to-Entity Due Process Channel

- The parties may pilot an M5-DPC State-to-Entity Due Process Channel for authenticated agency notices, status changes, filing reminders, fee notices, deficiencies, cures and responses. Each agency assertion must be signed by an authorized issuer credential and limited to that agency's authority domain.
- Digital delivery does not constitute legally sufficient service of process unless applicable law, rule, court order, contract or other governing authority recognizes that delivery method. Statutory fallback service and notice methods remain available and controlling where required.

M5Canon v0.2 Conformance and Authority Hierarchy

This document is governed by the M5Canon authority hierarchy for PPT-EZ-CA-0001. An authoritative legal act, executed instrument, government record or legally authorized person or institution establishes the legal right or status. A Ricardian contract expresses the authorized right in human-readable and machine-readable form. Deterministic code

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may validate, constrain, route and enforce only authority already granted. Jev, language models and other probabilistic systems may classify, score, explain and route, but they do not create legal authority. TitleChain records provenance, state, restrictions, authority and receipts. If digital state conflicts with authoritative legal evidence, execution must halt and route to reconciliation and authorized human review.

Clean Document-Control Status

Document control: human-controlled project draft assembled from project source material and reviewed under M5Canon document-control rules. No embedded generative media, comments, tracked changes, hidden prompts, content-control tags or authoring metadata are intended to be present.